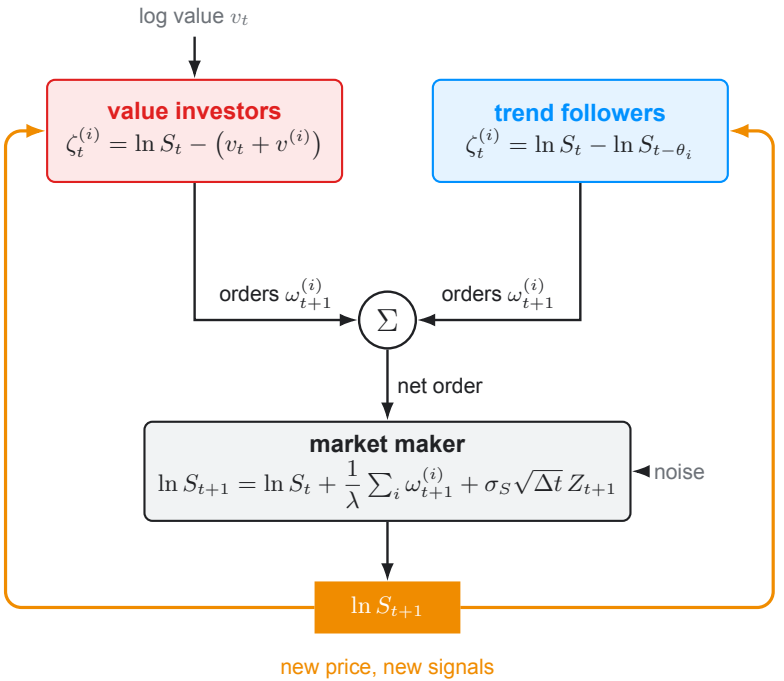
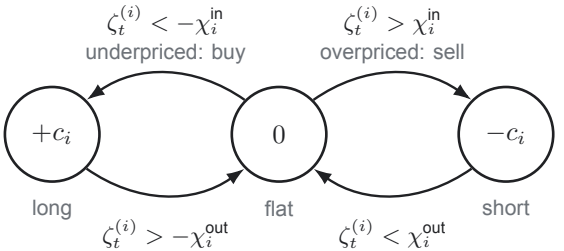
A One step



B Threshold rule of value investor i



Otherwise the position stays the same.

Position size: $c_i = a\left(\chi_i^{\text{in}} - \chi_i^{\text{out}}\right)$

Trend followers use the same rule with the signs reversed: buy when $\zeta_t^{(i)} > \chi_i^{\text{in}}$, sell when $\zeta_t^{(i)} < -\chi_i^{\text{in}}$.